

BEFORE THE FEDERAL MARITIME COMMISSION

DOCKET NO. 20-14

INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT ASSOCIATION, INC., *et al*

Respondents

**BRIEF *AMICI CURIAE* OF DIRECT CHASSISLINK, INC., FLEXIVAN
LEASING, LLC, AND INTERPOOL, INC. D/B/A TRAC INTERMODAL**

March 14, 2023

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Pursuant to Rule 73 of the Commission’s Rules of Practice and Procedure, 46 C.F.R. § 502.73, and with the consent of the parties, Direct ChassisLink, Inc. (“DCLI”), Flexi-Van Leasing, LLC (“FlexiVan”), and Interpool, Inc. d/b/a TRAC Intermodal (“TRAC”), referred to herein collectively as the intermodal equipment providers (“IEPs”), respectfully submit this brief as amici. The IEPs believe that the brief will be helpful to the Commission’s consideration of the Exceptions to the February 6, 2023 Initial Decision (“ID”) filed by the Ocean Carrier Equipment Management Association (“OCEMA”), Consolidated Chassis Management LLC (“CCM”) and other ocean carrier parties (collectively, “Respondents”).¹

I. INTEREST OF *AMICI*

Amici are three major U.S. chassis providers, who own almost all of the marine intermodal chassis assets that are the subject of this proceeding (i.e., the chassis made available in interoperable, multi-contributor chassis pools), but neither they nor the chassis they own are within the Commission’s jurisdiction. Although the Commission lacks jurisdiction over the IEPs, their conduct, or their assets, the ID ordered relief that would constitute a direct and unprecedented interference in the IEPs’ contractual and business arrangements, and that would almost certainly *decrease* the availability and interoperability of intermodal chassis. The ID suggests that additional unprecedented relief may be ordered, leaving the IEPs without any certainty as to what their legal obligations are or which agency might seek to impose them. The IEPs file this brief to assure that the consequences of operating so far outside the scope of its authority are fully brought to the Commission’s attention.

¹ The Exceptions were filed as Docket Entries No. 138 (Evergreen) and No. 139 (Respondents). This brief will cite the latter filing as “Resp. Br.”

II. BACKGROUND

Since the ocean carriers began to exit the chassis provisioning business nearly 15 years ago, the IEPs have invested billions of dollars in upgrading their respective chassis fleets acquired from the ocean carriers, an investment that would not have occurred without the IEPs, and have purchased thousands of additional new chassis. The ID acknowledges that these investments have “worked and injected higher levels of safety and maintenance in chassis operations.” *See* ID at 2. As with any other business, the IEPs can invest in these assets only if they are able to deploy them efficiently and obtain a competitive return on their investments in an environment of legal predictability. To do so, they have supported and contributed to a variety of chassis provisioning models within a highly competitive marketplace, adapting them as necessary to meet the particular needs of their customers in a variety of different geographic areas and intermodal environments.

The IEPs’ investments and market innovations have significantly increased the competitive options open to shippers and beneficial cargo owners, and a wide variety of options are available in every port and geographic area. These options allowed the industry to weather the significant dislocations caused by the pandemic—including dramatically increased dwell times for chassis due to port congestion and changing cargo patterns—more easily than if regulatory models had been proscribed to take the place of these competitive options. For example, by controlling their assets in competitive pools, also known as “neutral” or “single provider” pools, the IEPs were able to reposition tens of thousands of chassis to respond to new cargo flows more easily than if they had been committed to regional gray pools, again requiring a very significant investment at the height of the supply chain disruptions during the height of pandemic.

The relief ordered in the ID would directly upset the competitive arrangements the marketplace has developed, and which continue to proliferate. It would require the IEPs to restructure chassis pools and operations to the disadvantage of the shipping public, increasing their

costs and overriding the IEPs' right to use and deploy their own assets. The ID also states the Commission has the authority to prevent ocean carriers from leaving gray pools to use competitive pools operated by the IEPs. *Id.* at 5. The ID would also, at the least, force a highly disruptive and inefficient restructuring of the Pool of Pools at Los Angeles/Long Beach, and could well force its demise, even though the Pool of Pools does not operate under any FMC filed agreement, was established by the IEPs not the ocean carriers, is operated by the IEPs using their own assets that are not under the Commission's jurisdiction, and has received a favorable business review letter from the Department of Justice. *See* ID at 53-54. This suggests a shocking and drastic enlargement of Commission authority, effectively dictating a one-size-fits-all approach to wholly landside business activity in a vibrant marketplace where there is currently abundant competition and numerous choices for sourcing and using chassis.

This substantial and unprecedented interference is not proposed to resolve any competitive problem as defined in the Commission's precedent and antitrust law precedent—there is no market power analysis or other proper market analysis in the ID as required under both lines of precedent. Nor has any recognized species of anticompetitive conduct even been alleged. Rather, it is intended to further the private interests of Complainant Intermodal Motor Carriers Conference ("IMCC"), and the North American Chassis Pool Cooperative ("NACPC"), a chassis provisioning company operated by a handful of IMCC's larger motor carrier members, which desires to profit off the IEPs' investments and assets by dictating a pool model that actually allows *NACPC* to bill for the use of *the IEPs'* assets, without having provided the assets to properly fleet for customers as required by the pools.

As Respondents note, motor carriers make a healthy profit by marking up the chassis charges to the end users who are actually arranging and paying for the transportation. *Resp. Br.* at

18-19. *See also* Resp. Br. at 35 (“It is U.S. shippers and consignees that negotiate their terms of carriage and who ultimately pay chassis charges,” not IMCC, its members, or their NACPC affiliate, and there is no “evidence by any shipper/consignee complaining or seeking redress over the payment of chassis usage by the trucker that the shipper/consignee ultimately bears.”). The relief IMCC now seeks would enable NACPC to free ride on the chassis pool infrastructure investments of others, including the IEPs, and enable NACPC’s owners to significantly expand the profits they make by billing shippers for the use of the IEPs’ chassis, allowing them not only to profit off the IEPs’ assets but to double dip in doing so.² Not only has IMCC failed to show any harm to the market from the practices it challenges, to the extent there is any harm from the circumstances presented in this proceeding, it is the result of the practices of IMCC’s own members who take the chassis rates set in a competitive marketplace and mark them up for their own profit—even when they pay nothing for the chassis. *See* Resp. Br. at 18. *See also* pp. 17-19, *infra*.

Neither the Shipping Act nor the antitrust laws countenance such a result. These laws are intended to guard against harm to the shipping public and competition in the marketplace as a whole, not to protect the self-serving activities of participants in the supply chain, and are rightly suspicious of claims brought by competitors, such as NACPC, or intermediaries in the supply chain posing as proxies for the actual end users, like IMCC. They require a showing of market power for the same reason—to assure that the relief sought addresses some competitive problem that

² The IEPs made this argument to the ALJ in arguing that their competitively sensitive information should not be provided to IMCC so that it could be shared with NACPC, which is seeking to use this litigation to obtain a competitive advantage against them. *See Complainant’s Motion To Compel Discovery And Opposition And Counterstatements Of [the IEPs] (“IEP Opposition to Motion to Compel”)* at 2-4 (Dkt. No. 47). The protective order in the case was thus modified to preclude the sharing of this information with NACPC, after IMCC initially refused to protect this information from going directly to NACPC, *see id.*, at 4-5, but the ID itself does not acknowledge this market reality.

harms the shipping public as a whole and not just the interests of a single market participant. Here, there is no evidence of such harm. *See* pp. 8-10, 20-24, *infra*.

The IEPs participated in the proceedings before the Administrative Law Judge solely as nonjurisdictional third party respondents to discovery requests, providing documents to each side pursuant to subpoena (or in lieu of subpoena), and negotiating declarations to head off the burden and expense of additional discovery. They dealt with each side on an equal basis.³ There is no finding in the ID, and no evidence in the record, that the practices under review were somehow forced onto the IEPs rather than being negotiated in a competitive market. Indeed, as third-party discovery respondents, the IEPs agreed to provide any documents that would show that the usage assignment rules in the Pool of Pools were not adopted as a matter of the IEPs' independent business judgment. *See* IEP Opposition to Motion to Compel, at 18. As to the ID, however, the IEPs concur with the ocean carriers that it would grant relief that is far outside the Commission's power to grant, that it impermissibly attacks the IEPs' contractual and business arrangements, and that it would dramatically undermine the efficiency and competitiveness of chassis provisioning.

III. SUMMARY OF THE IEPS' POSITION

IMCC asks the Commission to impose wide-ranging relief that would directly affect the IEPs, solely on the basis of IMCC's assertion that its lawsuit is a pro-competitive effort to improve

³ At one point in the briefing IMCC stated that the IEPs "are not having their rights adjudicated without any participation—in fact, they submitted declarations for [the ocean carriers'] very motion," but this entirely misrepresents the situation. *See* Complainant's Response to Respondent Motion for Summary Decision at 3 (Dkt. No. 108). The IEPs dealt with each side on the same basis, negotiating document productions with each as third-party discovery respondents, and providing each side a declaration in lieu of further discovery. The suggestion that the IEPs should be considered somehow to have submitted themselves to interference with their contractual and business arrangements in so doing is both factually and legally unsupportable. *See, e.g., Trans. Servs., Inc. v. Coex Coffee Int'l, Inc.*, 1992 FMC LEXIS 151, at *6-7 (F.M.C. 1992) ("subject-matter jurisdiction cannot be conferred on a court or agency through waivers, estoppels, agreements of the parties, and the like. As far as the Commission is concerned, like any administrative agency, only Congress can confer jurisdiction, and the agency cannot expand or contract its jurisdiction by itself.").

efficiency by furthering chassis interoperability and allowing competition for merchant haulage. In reality, IMCC seeks to replace the results of a competitive marketplace with Commission-imposed rules that would benefit IMCC and NACPC, but not the shipping public. It does so based on a concept of “carrier choice” that has no factual or legal basis.

The parties that actually arrange and ultimately pay for ocean transportation, whether the last mile is merchant haulage or carrier haulage, are not the motor carriers. Rather, it is shippers/beneficial cargo owners (“BCOs”) or nonvessel owning common carriers or other agents acting on their behalf (“NVOCCs”) who pay these costs. Those parties have a variety of competitive choices, beginning with the choice between carrier haulage, merchant haulage, and merchant haulage exception services from ocean carriers. In the event of carrier haulage, the shipper has chosen to buy a “store to door” service from an ocean carrier. The ocean carrier is then responsible for the movement of the container from the origin to final destination across multiple transportation modes, including one or many chassis moves. Given the continued prevalence of carrier haulage procurement from shippers, the ocean carriers typically have long-term contractual relationships with IEPs in each market where the carrier operates. Those contracts usually involve volume commitments and forecasting requirements from the ocean carrier, and service levels with predictable pricing from the IEP.

When the shipper has opted to move the cargo via merchant haulage, it has usually contracted with an intermediary, like an NVOCC or freight forwarder, to manage the shipment end-to-end. Along the way, a motor carrier is hired to move the container over the road. In this case, the motor carrier has many chassis choices itself, including: (a) using a chassis it owns outright; (b) leasing chassis directly from an IEP or other source; (c) renting a chassis from a competitive, or single provider, pool; or (d) renting a chassis from an interoperable pool. In most

areas at least three of these options are available. In the Los Angeles / Long Beach market, for example, there are at least four competitive pools, one interoperable pool, a plethora of term lease options, and a substantial number of chassis owned or otherwise controlled by motor carriers themselves.

Ocean carriers and large shippers have also structured a hybrid approach to chassis procurement known as merchant haulage exception, which functions like merchant haulage, except that the shipper has negotiated a transport services price with the ocean carrier that includes chassis. From a chassis perspective, then, the relationship behaves much like carrier haulage—the ocean carrier is responsible for the chassis as part of the negotiated rate, and therefore seeks to source those assets from its preferred provider.

The ID never suggests that this market is not competitive under any recognized method of competitive analysis. In fact, its discussion of the “relevant facts” does not even mention the words “competition,” “competitive,” “monopoly,” “market power,” or even “market.” Nor does it cite to any evidence of harm to shippers and consignees—the actual paying parties—from these practices.

The “choice” IMCC seeks to have the Commission impose on the marketplace is very different from the kinds of competitive options that a sound competition regulatory scheme might seek to protect. IMCC argues that after a BCO or NVOCC chooses merchant haulage of a container, and after a motor carrier chooses to use a chassis from an interoperable Consolidated Chassis Management (“CCM”) pool or the Pool of Pools rather than one of the other available choices, IMCC members should have the right to allow NACPC to bill for the chassis, rather than the IEP that contracted with the ocean carrier that brought the box, *even if it is the IEP’s and not NACPC’s chassis*. The reason NACPC needs the Commission’s help to force this result, rather

than competing in the marketplace as the IEPs do, is that NACPC does not have the scale or the infrastructure to make it an attractive contractual partner to the ocean carriers, or the requisite experience as a viable operator of its own competitive pool, because it cannot fleet for the ocean carriers' volumes. Struggling in the competitive marketplace, NACPC seeks to have the Commission order its acceptance into existing pools while dictating terms more favorable to them, without consideration of either the complex operational realities of managing these pools or complying with rules developed through layers of reasonable business judgments to work within those realities.⁴

Both the Shipping Act and the antitrust laws reject such efforts to use laws intended to assure the benefits of competition to the public as a whole for private benefit. Both recognize that absent some showing that a party is exercising impermissible market power, the IEPs as the asset owners, and a competitive marketplace that provides for an array of choices, are better able to create efficient options than a system dictated by a single party, such as IMCC, to serve its own interests. The Commission's unreasonable practices precedent, including its precedent as to exclusive arrangements, *requires* a demonstration of market power to find such arrangements unreasonable, and the Commission has repeatedly rejected claims where complainants did not

⁴ NACPC's role in this litigation was also highlighted in the discovery process. When the IEPs sought a provision that would prevent disclosure of their confidential information to NACPC, IMCC flatly refused to protect all of this confidential information. *IEP Opposition to Motion to Compel*, at 4-5 & n.6. This refusal came less than a week after IMCC held a meeting to amend its bylaws to permit representatives of Allied Members (such as NACPC) to serve on its Board. *Id.* at 4. The Board then promptly used that change to appoint NACPC's President to their number, which would have allowed him access to the confidential information IMCC was seeking from the IEPs in discovery. *Id.* at 4-5. IMCC had proposed an order that would allow information designated as confidential to be disclosed to "any officer, manager, Board Member, or employee of either Party", and had deleted a provision proposed by the IEPs to prevent any Confidential Information from being disclosed to NACPC. *Id.* at 4 n.6. Only after the ALJ ruled on its Motion to Compel did IMCC agree to protect this information from disclosure to NACPC in the confidentiality order that was entered.

meet that burden so as to justify intervention into a competitive market.⁵ So too have the antitrust laws.⁶ The ID fails to mention this necessary showing of market power, much less make a finding of market power on the basis of competent evidence, and is erroneous on that basis alone. Indeed, IMCC itself expressly declined to rely on these exclusivity cases in an implicit recognition that these precedents undermine its claims.⁷

The insistence of the Commission and the courts on a showing of market power as a precondition to interfering in the marketplace in cases such as the present one is not an empty formality. It is absolutely essential to ferreting out claims, like IMCC's, that seek to advance the narrow interest of a market participant rather than advancing the interest of the shipping public or of competition as a whole. "The primary objective of the shipping laws administered by the FMC is to protect the shipping industry's customers, not members of the industry."⁸ This is the same fundamental principle that underlies the antitrust laws, which protect "*competition*, not competitors."⁹ As the Supreme Court has explained, the "purpose of the [Sherman] Act is not to protect business from the working of the market; it is to protect the public from failure of the

⁵ See, e.g., *River Parishes Company, Inc. ("RIVCO") v. Ormet Primary Aluminum Corporation*, 1999 FMC LEXIS 32 at *55-56 (F.M.C. 1999) (dismissing complaint where complainant had failed to meet its burden in an exclusive arrangement case in part because there was "absolutely no evidence" that the respondent held power in the relevant market).

⁶ See, e.g., *Capital Imaging Assocs., P.C. v. Mohawk Valley, Med. Assocs., Inc.*, 996 F.2d 537, 543 (2d Cir. 1993) (rejecting claim of unreasonable restraint where plaintiff's position was "simply that it [was] harmed as an individual competitor" and it did not show market power or "any adverse impact on price, quality, or output" in a relevant market).

⁷ IMCC expressly stated that while "exclusivity arrangements may violate the Shipping Act," "these cases are not fully pertinent because they concern 'something akin to a monopoly' . . .". IMCC Motion for Summary Disposition, at 16 n. 13 (Dkt. No. 93). IMCC thus concedes, and the facts amply confirm, that there is nothing "akin to a monopoly" here.

⁸ *Boston Shipping Ass'n v. Fed. Mar. Comm'n*, 706 F.2d 1231, 1238 (1st Cir. 1983).

⁹ *Brown Shoe Co. v. United States*, 370 U.S. 294, 320, 344 (1962).

market.”¹⁰ Here, there is no evidence of market failure, merely IMCC’s assertion of market outcomes that do not match its preferences.

IMCC seeks to avoid this conclusion by asserting that it is acting on behalf of shippers and BCOs, and that the asserted harm to IMCC should be therefore be considered harm to the shipping public as a whole. The ID incorrectly accepts this erroneous assertion without any analysis, asserting in a footnote that “[t]he focus of this case is motor carriers, so that term will be used to also include the customer who hired the motor carrier, such as the BCO or NVOCC.” ID at 2 n.2. But since the motor carrier *is not in fact the party arranging or paying for the cargo transportation*, IMCC’s assertion, accepted in the ID, that competition is properly looked at from the perspective of a competitor or a single participant in the middle of the supply chain, is simply wrong. The antitrust laws are rightly skeptical of claims brought by competitors¹¹ or intermediaries¹² seeking to further their own interests rather than to protect competition in the market as a whole. The ID’s erroneous focus on IMCC’s self-declared equivalence with the interests of the shipping public as a whole leads it to focus on the false and legally unsupported concept of “chassis choice,” as IMCC alone defines it, and to ignore the proper competitive and market power analysis required by Commission and antitrust precedent.

¹⁰ *Spectrum Sports, Inc. v. McQuillan*, 506 U.S. 447, 458 (1993).

¹¹ See ABA Section of Antitrust Law, *Antitrust Law Developments*, at 808-09 (9th ed. 2022)(“Courts have also refused to recognize antitrust injury where the defendant’s conduct injures the plaintiff without having an adverse effect on competition, particularly where the plaintiff is a competitor”)(citing numerous cases).

¹² See, e.g., *In Re Travel Agency Com’n Antitrust Litigation*, 583 F.3d 896, 908 (6th Cir. 2009)(rejecting claim of antitrust conspiracy to eliminate travel agents from the air ticket purchasing chain as implausible, where advances in technology allowed for “new, alternate methods for airfare purchase—including direct purchases by customers on the internet,” making plaintiffs’ intermediary role unnecessary.)

In sum, the chassis assets in question are the result of substantial investments by the IEPs, and the Commission has no power to direct how nonjurisdictional parties deploy nonjurisdictional assets. Even if it did, IMCC has provided no basis on which to conclude that it has a better idea how to do so than the IEPs and the rest of the dynamic, and still evolving, chassis-provisioning marketplace. The relief sought by IMCC has the potential to *increase* costs and service disruptions to shippers, and to *decrease* interoperability. That is why it is IMCC that has brought this action, in the absence of any evidence of record of complaint by shippers or other end users. Finally, while the Commission need not address the necessary party issue because there is no plausible ground for any relief in this action, such relief would be barred in any event because the Commission cannot directly invalidate the rules the IEPs have established to govern the pools into which they contribute their assets without their participation in the actions as jurisdictional parties.

ARGUMENT

I. THIS CASE IS NOT ABOUT EFFICIENCY OR INTEROPERABILITY, BUT RATHER, IS AN IMPROPER ATTEMPT BY IMCC TO INTERFERE WITH AN EFFICIENT AND COMPETITIVE MARKET TO GAIN A COMPETITIVE ADVANTAGE.

A. IMCC Seeks Relief That Would Advantage Only Its Chassis Leasing Affiliate, NACPC, Not The Shipping Public At Large Or The Competitive Marketplace.

The IEPs have invested significant amounts of capital and other resources to support a variety of competitive options and chassis provisioning models to address market needs. *See* pp. 1-2, *supra*. The ID notes some of these in passing, ID at 2, but does not properly take them into account as part of any analysis as to whether there is some competitive problem in the marketplace that needs to be solved in the manner required by the Commission's precedent. The IEPs have also made enormous investments in chassis assets that have led to significant upgrades in chassis safety and quality, which the ID also acknowledges, but does not take into account in its analysis. *Id.* The IEPs own the bulk of these assets, not the ocean carriers, the motor carriers, or the motor

carriers' chassis affiliate, NACPC. They enter into contracts with ocean carriers and other parties that allow them to provide these chassis efficiently and to obtain a return on their very significant investments.

These models allowed the industry to weather the significant supply chain dislocations of the pandemic, which were caused not by the IEPs or any particular chassis provisioning model, but by changing cargo patterns, an increased demand for ocean container shipping services, a tariff ruling that cut off a ready supply of new chassis from overseas to meet increased demand, and a tripling of chassis dwell times due to supply chain congestion. There were of course chassis availability issues during the pandemic, but a Government Accountability Office study of the chassis market issued a year into the pandemic reviewed the costs and benefits of existing chassis provisioning models, and noted after discussing the chassis models with multiple stakeholders that “[n]one of the entities we spoke with identified additional actions they would like for FMC to take regarding chassis.” Government Accountability Office, *Information on How Intermodal Chassis are Made Available and the Federal Government’s Oversight Role*, at 15 (Mar. 2021) (emphasis added). Nor did the Government Accountability Office itself recommend any such actions.

IMCC’s suggestion that interference in these vibrant, innovative, and well-functioning markets is necessary to promote chassis interoperability is a red herring, and the Commission should not be fooled. The relief IMCC seeks is directed only to pools that are *already* interoperable—it seeks to overturn the billing rules that these interoperable pools have developed to administer the pools efficiently and allow recovery of their investments. *See* ID at 17 (finding that Pool of Pools chassis are fully interoperable, and that the pool participants have entered into default provider agreements with respect to billing). As discussed more fully in the next section, the relief sought by IMCC would greatly increase the administrative costs of these pools and make

it much more difficult for the IEPs to recover their investment costs, creating an incentive for them to *exit* interoperable pools and reduce their investment in chassis assets. The relief sought by IMCC would thus *reduce* interoperability and chassis availability.

IMCC does not seek relief to improve the efficiency of the market. That is why this action was brought by IMCC on behalf of its chassis affiliate, NACPC, and not by a shipper, BCO, or other party that is actually arranging the transportation or ultimately paying the transportation costs. The ID entirely ignores that end users or their agents choose merchant haulage in a competitive marketplace, and that shippers freely choose between carrier and merchant haulage within a framework of numerous business dimensions, one of which is the applicable chassis sourcing options and any related practices or rules. The unhappy party is NACPC, which seeks a regulatory boost to allow it to participate in the pools without making the necessary investments or having the necessary infrastructure to compete on the same terms as other pool participants, including the IEPs. As set out above, this is of no legitimate concern under either the Shipping Act or the antitrust laws. *See* pp.8-10, *supra*. *See also New York Shipping Association v. FMC*, 854 F.2d 1338, 1374-75 (D.C. Cir 1988)(quoting from legislative history to the 1984 Act as follows: "The primary role of the FMC [is] to review conduct in order to protect carriers, shippers, and ports from unfair or discriminatory shipping practices.")

B. The Relief IMCC Seeks Would Undermine Efficiency, Not Promote It.

IMCC seeks to reorder the competitive chassis-provisioning marketplace under the misleading rubric of "chassis choice." But this concept of "chassis choice" has nothing to do with how competition is assessed under the Shipping Act or the antitrust laws. IMCC does not even attempt to identify any legal basis for its claimed "right to chassis choice." Nor does the concept make any economic sense. IMCC argues that its members should "choose" chassis in merchant haulage because they are paying for the chassis, but it is the BCOs and NVOCCs who actually

arrange for the transportation, choose the ocean carrier, choose between carrier and merchant haulage, make the competitively relevant choices, and ultimately pay the freight.

Ignoring the many options available in the marketplace, IMCC defines choice from the narrow perspective of itself and its affiliate, NACPC. The rules IMCC challenges apply in only two categories of pools among the many options available: CCM-managed interoperable pools and the IEP-managed Pool of Pools at the Port of Los Angeles/Long Beach. Motor carriers already have their choice of chassis both inside and outside these pools, and in wheeled container environments if a container is placed on a chassis they do not wish to use they can request that it be flipped to another chassis, such as a chassis the motor carrier owns or rents directly. There is overlapping interoperability and ample choice. The self-serving nature of IMCC's claims is further confirmed by the fact that NACPC itself enters into chassis usage agreements similar to those IMCC seeks to prevent the IEPs from using as "exclusive," and thus IMCC seeks to prohibit the IEPs from engaging in the very competitive conduct engaged in by its own affiliate. Resp. Br. at. 6 n. 4.

What IMCC proposes to eliminate, incorrectly terming it a denial of "chassis choice," is a default provider billing mechanism that allows pool managers, including the IEPs, to efficiently assign chassis usage for billing and other purposes in connection with the use of chassis in interoperable pools. Eliminating that mechanism as IMCC proposes would have highly disrupting consequences in interoperable pools. The IEPs will discuss that point from the perspective of the Pool of Pools, not because the regulation of that pool is even remotely in the Commission's jurisdiction, but because they are familiar with the issues as the (Commission-nonjurisdictional) operators of the pool, who own and control the (Commission-nonjurisdictional) assets in the pool.

As stated above, the Pool of Pools has full interoperability. It also only includes roughly 55,000 chassis,¹³ which is far fewer than the total number of chassis required to service the over 19,000,000 TEUs of cargo that transited the Ports of Los Angeles and Long Beach in 2022. A motor carrier choosing to utilize the Pool of Pools is free to select any physical chassis available to make that move. In order to make that system work, a billing system with complex back-office operations has been set up to allow chassis contributors to be compensated fairly. Because users can take any chassis in an interoperable pool, and container and chassis identification systems at marine and rail terminals are incomplete or imperfect, IEPs in these pools must devote significant time to “cleansing” the data they received through the tracking system (known as “EDI 322” reports) so that they can properly bill customers and settle up for interoperable use amongst themselves. Designating the provider by ocean carrier allows this system to operate more effectively, and also provides visibility and certainty to users of the pool. Eliminating the designations would make the pool entirely unworkable by requiring the IEPs to deal with potentially thousands of additional parties operating at multiple levels of the supply chain. The pool would simply cease to exist in its current form, and the IEPs could very well simply decide to leave the interoperable pool entirely.¹⁴

This system has been set up in the Pool of Pools because it solves an administrative issue for the IEPs that would otherwise prevent them from being fully compensated for their assets. It

¹³ See <http://www.pop-lalb.com/>

¹⁴ The ocean carriers’ brief suggests that if the chassis usage agreements between the ocean carriers and chassis providers did not designate the chassis provider as the preferred or exclusive provider of the ocean carrier, the IEPs might be able to work around the resulting problems by “establishing alternative methods of allocating [merchant haulage] chassis usage that would have a similar effect.” Resp. Br. at 24-25. Even assuming this was the case, the IEPs would still face the same operational and technological issues they would face in trying to institute “chassis choice” in interoperable pools.

is not established by the ocean carriers for their own purposes and does not result in a “subsidy” to carrier haulage. Even if it were technologically and logistically possible to obtain and rely on party identity data that is not available in the gate data (i.e., to enable end user choice by shippers and their NVOCCs) to allow proper apportionment of usage in multi-contributor pools, proliferating the number of parties and/or circumstances necessary to determining who should receive a chassis usage bill would come at a significant administrative and logistical burden, both for primary billing and contributor settlements. While this task can now be done on a carrier-by-carrier basis, it would have to be done on a box-by-box basis, an extremely burdensome if not impossible task. This is particularly true for parties in a collaborative but decentralized venture such as the Pool of Pools, where new layers of billing rules would require greater and greater commercial information sharing and coordination of multiple systems to avoid cascading billing errors.

These administrative challenges that the default provider rule is designed to address also demonstrate that interoperable pools come with significant costs and create their own inefficiencies. The tradeoffs between different chassis provisioning models are yet another reason they should be able to develop in the marketplace rather than being subjected to a single regulated or mandated model. The ID does not address any of this in deeming these practices unreasonable. Nor should the ID have ever gotten to the point of weighing the justification for these practices in the first place. As discussed more fully below, the ID does not include any of the analysis necessary under governing precedent to justify any market intervention, including the findings of market power necessary to require justification of the reasonableness of a practice alleged to create an exclusivity problem, and properly finding that practice to be exclusive.

C. If There Is Any Harm Being Caused To The Shipping Public From Current Chassis Arrangements, IMCC Is Causing It, Not The IEPs Or The Ocean Carriers.

IMCC argues that it is supposedly being harmed by being “overcharged” because chassis rates for merchant haulage moves are generally higher than chassis rates for carrier haulage moves. IMCC further argues and the ID appears to accept, ID at 56-57, that the fact IMCC marks up the merchant haulage rates to the end user, often exorbitantly, is irrelevant to the competitive analysis. These assertions are economic and legal nonsense.

First, the argument that because ocean carriers are able to negotiate lower rates for carrier haulage, higher merchant haulage rates are an “overcharge” is a *non-sequitur*. The IEPs obtain very significant advantages from dealing with the ocean carriers because, among other things, ocean carriers control the cargo, pay for enormously more chassis usage as compared to a typical motor carrier, and are better able to forecast container demand. In a competitive market, these advantages logically translate into lower rates for carrier haulage.

As the ocean carriers point out, it is the ocean carriers that are expected to assure chassis availability, and they rely on their contracts with the IEPs to do so. Resp. Br. at 14-16. When the IEPs enter into such contracts they must make the investment and commit chassis capacity into a pool to support the entire scope of that ocean carrier's container volume, including both carrier haulage and merchant haulage. The carrier also makes large-scale commitments, generally for multiple years. Of course, the carriers can forecast volume more accurately than motor carriers because they are the parties that actually book and carry that cargo into and out of the country. In that environment, the carriers bring significant value to the IEPs in terms of higher volumes and increased predictability of volume, even though it is certain—based on now existing operational chassis choice options—that an IEP will never actually receive all of any ocean carrier’s container volume.

Even absent the financial commitments to IEPs for chassis repositioning that Respondents refer to, *see* Resp. Br. at 16, the ocean carriers provide the cargo inputs that inform physical chassis repositioning at terminals and rail ramps nationwide, including all of the cargo that will ultimately be carried by either carrier or merchant haulage. This not only creates chassis supply chain value and adds efficiencies in dealing with ocean carriers, but also creates an administrative and operational burden on the ocean carriers to facilitate. Ocean carriers must invest in forecasting infrastructure and billing and administrative resources to separate carrier from merchant haulage, and often also negotiate for service level agreements with IEPs tied to container forecasts, including potential penalties for failures. The IEPs' agreements with the ocean carriers are negotiated in a competitive market to recognize this value, and the shipping public receives the benefit of their carrier haulage practices as well.

The motor carriers, by contrast, rarely make a long-term commitment, and generally simply show up and expect a chassis at a daily rate. Motor carriers have thus had access for years to assets they do not own and have not invested in or maintained within pools. The notion that motor carriers are being “overcharged” in such circumstances because they pay more for chassis than ocean carriers do is absurd. It is even more absurd given that the merchant haulage rates the motor carriers receive, set in a competitive market as to which there has been no finding that the ocean carriers or the IEPs are exercising market power, are so reasonable that the truckers are able to routinely mark them up to the BCOs and NVOCCs who are actually paying the freight by an amount that record evidence cited by Respondents shows “on average amounted to a *premium to shippers of 46% above chassis costs.*” Resp. Br. at 18-19 (emphasis added). As asset availability tightened in the pandemic, motor carriers increased those mark ups. The current system has provided an enormous source of revenues for the trucking community broadly, and the members

of IMCC in particular, on the back of IEPs' massive investment in chassis, infrastructure, and ongoing maintenance and administrative costs.

Again, IMCC seeks to advantage itself and not the shipping public. It does not want lower rates for merchant haulage prices to the end user; it just wants NACPC to get a bigger piece of that business than it can get by competing in the marketplace without regulatory "help." The ID ignores this point by suggesting it is a form of pass through defense. ID at 56-57. It is not. It is strong evidence that there is no "overcharge" or anticompetitive conduct to start with. IMCC's members are not "passing through" an overcharge; they are marking up the rates set in a competitive marketplace and profiting mightily. Their Commission proceeding is an effort to insert NACPC into the process so that they can profiteer even more.

IMCC has not alleged or shown any harm to the shipping public, or any plausible theory of competitive harm. Indeed, its own conduct shows that if there is any harm to the public as a result of "overcharges" for the chassis used in merchant haulage it is IMCC doing the overcharging—at an average 46% premium to shippers according to the record evidence cited by Respondents *and not contradicted in the record*—and not the IEPs or the ocean carriers.

II. THE "EXCLUSIVE AGREEMENTS" PRECEDENT ON WHICH THE ID PURPORTS TO RELY SQUARELY FORECLOSES IMCC'S CLAIMS.

The ID states that it is "relying primarily on Commission case law regarding exclusive agreements," and that Respondents' practices "may be considered akin to exclusive dealing." ID at 5, 32. However, the ID mishandles the precedent on which it purports to rely at every essential level. *See* Resp. Br. at 10-12. That precedent confirms that IMCC has not and cannot make out an unreasonable practices claim.

A. The Agreements Are Not Exclusive.

The ID fails to assess accurately whether the language of agreements actually creates any exclusive and/or preferred relationship in practice. As noted above, the parties who actually arrange and ultimately pay for the transportation at issue have many competitive options, and they are not the parties complaining here. The ID does not and cannot find to the contrary. It makes no sense to refer to an agreement as “exclusive” when neither an IEP nor an ocean carrier party to a chassis use contract exerts any control or influence over practical choices in chassis sourcing downstream by motor carriers or others, whether trucker owned or leased chassis, sourcing from other pools, or other options. This is the case not only in Memphis and Chicago, but also in areas with CCM pools and in Los Angeles/Long Beach where the Pool of Pools operates.

Moreover, the few cases where the Commission has found unlawful exclusivity have been cases where a port authority, through a tariff or the award of a franchise, has eliminated all competition in the market by regulatory fiat. *See pp. 21-22, infra.* The Commission has never invalidated an exclusive dealing arrangement reached by private parties in the marketplace, and it could not do so without making numerous findings as to actual market power and actual market foreclosure that the ID does not even attempt to make.

B. The Finding Of Market Power Required Under The Commission’s Precedent To Hold An Exclusivity Arrangement Unreasonable Has Not Been Made And Cannot Be Made.

The Commission’s unreasonable practices precedent requires a showing of market power before an allegedly anticompetitive restraint is invalidated as unreasonable. The Commission thus does not invalidate exclusivity arrangements or other alleged restraints simply on the basis that they are not “fit or appropriate” or are “excessive.” Rather, there must be a showing of market power that demonstrates that the restraint can actually reduce competition in a relevant market. Each of these points is discussed more fully below.

In *RIVCO*, the Commission noted that "[t]he test of reasonableness as applied to terminal practices is that the practice must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view," but then held that "before this general test is to be applied to an exclusive arrangement . . . it must reach a prima facie hurdle of harm." 1999 FMC LEXIS 32 at *49. Specifically, "[t]o analyze whether an exclusive arrangement is prima facie unreasonable under the 1984 Act, the Commission must first determine the market relevant to the practice in question, and then must determine the degree of actual harm or harm likely to be caused by the practice within that market." *Id.* at *49-50. In *RIVCO*, the party imposing an exclusive tug arrangement at a terminal did not have market power, and there were competitive alternatives, so the claim of an unreasonable practice was dismissed at this threshold level. Because there was no such showing at the threshold level, the Commission had not need to address whether the arrangement was "fit and appropriate." Here, the ID not only fails to make any finding or assessment of market power, it expressly states that it is not even making a finding as to the relevant market. ID at 44.

R.O. White & Co. v. Port of Miami Terminal Operating Co. ("POMTOC"), 2009 FMC LEXIS 31 (ALJ 2009), is to the same effect. The complaining stevedoring company alleged Shipping Act violations because it was unable to provide stevedoring services at a terminal leased to and operated by a joint venture of terminal operators. Discussing the "controlling law," the Administrative Law Judge, in a decision that became final when it was not excepted to, noted that "in determining whether challenged practices are in violation of the Act, the Commission will first determine their impact on competition in the relevant market area; this is an issue on which the complainant has the burden of proof. If the practices do not have a significant impact on competition, the respondent need not justify them and the inquiry is at an end." 2009 FMC LEXIS

31, at *76. Again, there was no need to determine whether the arrangement was “fit and appropriate” because the requisite showing of market power had not been made. *See also All Marine Moorings, Inc. v. ITO Corp. of Baltimore*, Docket, 1996 FMC LEXIS 68, at *31 (FMC May 15, 1996) (no prima facie case of violation over allegation respondent had prevented competition, where respondent had “nowhere near a monopoly at the Port;” relevant market is the port as a whole, and not simply the terminal. *Id.* at *8, *32); *Marine Repair Services of Maryland v. Ports America Chesapeake, LLC*, 2013 FMC LEXIS 1, at*81-87 (ALJ Jan. 10, 2013) (same).

This precedent alone is enough to dispose of IMCC’s claims, since it did not identify any respondent with market power in a properly defined market that might have been able to interfere with the workings of a competitive market. The ID cites *All Marine Moorings* for the general proposition that the Commission may look to the antitrust laws in assessing Shipping Act claims, but fails to undertake in any manner the analysis that *All Marine Moorings* and these other Commission cases require.

As the ocean carriers’ brief notes, the antitrust laws recognize that exclusive dealing claims often have many procompetitive benefits. Resp. Br. at 11. Indeed, the very case the ID cites to suggest that the supposedly “exclusive” arrangements here should be disfavored holds directly to the contrary, that “exclusive dealing contracts are *not* disfavored by the antitrust laws.” *Sanofi-Aventis U.S., LLC v. Mylan, Inc.*, 44 F.4th 959, 983 (10th Cir. 2022) (emphasis added). Exclusive dealing claims are rarely successful, and showings of market power and substantial market foreclosure of the type nowhere made or discussed in the ID are a necessary but not sufficient condition to finding a violation.¹⁵ *Sanofi-Aventis* itself affirmed the grant of summary judgment dismissing the suit.

¹⁵ *See, e.g., Omega Envtl. v. Gilbarco, Inc.*, 127 F.3d 1157, 1167 (9th Cir 1997) (upholding a series of exclusive dealing arrangements by a firm with a 55% market share that foreclosed 38% of the relevant

Finally, IMCC has also sought to raise the specter of a competitive problem by suggesting that default provider agreements tie a specific chassis provider to a given ocean carrier, so that motor carriers are not permitted to “shop around” for a chassis provider to obtain a lower rate. IMCC Complaint at 27 (Dkt. No. 1). As shown above, the relief IMCC seeks has nothing to do with providing the chassis itself; IMCC wants the Commission to force the pools to direct that NACPC can bill for a given chassis with the motor carrier then mark up that charge to the customer.¹⁶

C. The Commission Cannot Invalidate A Practice Simply Because It Believes Another Practice Would Be More Efficient.

The ID states correctly at one point that “while the Commission may have an interest in efficiency, it will be Complainant’s obligation to establish that the regulations and practices are unreasonable, not Respondents’ obligation to establish that the practices are the most efficient.” ID at 3. However, at later points the ID improperly suggests that efficiency alone can be the basis for a finding of unreasonableness. *See, e.g.*, ID at 15 (“consideration of the efficiency of practices is not limited to detention and demurrage cases”).

market). *See also* Antitrust Law Developments, at 214 (noting that many courts “hold that higher market share thresholds [more than 30%] are a prerequisite to finding exclusive dealing unlawful -- and even then a finding that the arrangement is anticompetitive is not a foregone conclusion.”)

¹⁶ While IMCC does not attempt to put a label on this complaint to attempt to bring it under either Commission or antitrust precedent, it appears it is trying to suggest, but in no way prove, some kind of a tying arrangement. Even if there were a tie there is no basis on which to conclude that there would be anything wrong with it. Both *RIVCO*, 1999 FMC LEXIS 32 at *56-60, and *R.O. White & Co. v. POMTOC*, 2009 FMC LEXIS 31, at *76-77, rejected the claim that such a tie is “inherently improper,” and dismissed claims alleging tying arrangements to be unreasonable because there was no showing in either case that the respondent had sufficient economic power with regard to the tying service to restrain competition. *RIVCO* relied on *Jefferson Parish Hosp. Dist. v. Hyde*, 466 U.S. 2, 3 (1984), which states that the “fact that [an] exclusive contract requires purchase of two services that would otherwise be purchased separately does not make the contract illegal” and that “only if [the consumer is] forced to purchase the contracting firm’s services as a result of the [defendant’s] market power would the arrangement have anticompetitive consequences.” In *Hyde* even a market share of 30% was insufficient for liability. Again, there is no showing or evidence of market power in this case.

The principle that the ID first states, but does not consistently follow, is the correct one. The Commission's role is to apply the Shipping Act in a consistent and rational manner to parties within its jurisdiction, not to remake well-functioning markets based on litigants' ideas of efficiency, or to accommodate the preferences of a group of intermediary market participants. As set out above, the Commission's precedent clearly requires a showing of market power before a party is required to justify its practices on efficiency or other grounds. Moreover, as explained above, the practices IMCC seeks to invalidate actually improve efficiency, and the relief that would be awarded if the ID were affirmed would harm chassis availability and the efficiency of the chassis-provisioning marketplace.

III. THE RELIEF SOUGHT IN THIS CASE IS OUTSIDE THE COMMISSION'S AUTHORITY TO AWARD IN ANY EVENT.

A. The Commission Has No Authority to Award Relief That Directly Regulates The IEPs' Businesses and Business Decisions.

The decision denying Respondents' motion to dismiss this proceeding on the basis that the IEPs could not be added as necessary parties disclaimed any intent to adjudicate the conduct of the IEPs, and stated that any relief would be fashioned to avoid or minimize any impact on the IEPs. *See* ID at 27-28. The ID likewise disclaims any intent to adjudicate the conduct of the IEPs and repeats the concern that relief should be fashioned to account for the interests of the IEPs as nonjurisdictional entities. *See* ID at 22, 28. Nonetheless, the ID purports to find unlawful the contracts and other arrangements that the IEPs have freely entered into with ocean carriers to allow for the efficient deployment of their assets and to obtain a return on their substantial investment in these assets and their operation. There is no apparent effort in the ID to tailor the relief to avoid directly regulating the IEPs' businesses and requiring them to significantly restructure their operations, notwithstanding the limited facts in the case associated with the operations of the IEPs as nonjurisdictional entities. The ID ventures beyond the Commission's authority on its own

terms—it invalidates the arrangements the IEPs have decided to make with respect to their own assets, and thus, necessarily adjudicates their conduct. The Commission also goes out of its way to grant relief that affects the IEPs, including by awarding relief that would make the Pool of Pools they operate essentially unworkable.

The ID repeatedly suggests that the Commission has authority to regulate chassis assets because the ocean carriers sought to place the CCM pools under the protection of agreements filed with the Commission. ID at 22, 28, 30. The chassis assets in those pools are largely owned by the IEPs, however, who made no such decision. Moreover, the ID goes on to directly address the Pool of Pools, which was established by the IEPs, not the carriers, and does not operate under any Commission agreement, but received a favorable business review letter from the Department of Justice. *See* ID at 53-55.

The ID also suggests that it has the authority to regulate arrangements for use of the IEPs' assets because ocean carriers benefit from these arrangements via a linkage between carrier haulage and merchant haulage. This is the tail wagging the dog, which the ALJ recognized earlier in the litigation but the ID paradoxically does not reflect. *See* Order Denying Mot. for Leave to File Interlocutory Appeal, at 7(Dkt. No. 24) (“The complaint focuses on OCEMA and CCMP agreements, CCMP operations manual, and ocean carrier regulations and practices, and not on contracts between ocean carriers and chassis providers.”). These contracts and arrangements are with IEPs, who are not regulated by the Commission, for assets the Commission does not regulate, and are entered into by the IEPs to allow recovery of their substantial investments in these assets. Ocean carriers enter into many contracts with third party vendors in the course of providing ocean transportation to shippers, and the fact that these contracts may be “critical to moving intermodal shipping containers” is not enough to bring them within the Commission’s jurisdiction.

The Commission's lack of authority to regulate the conduct that the ID would prohibit is further demonstrated by the fact that the challenged rules apply both in the CCM pools and the Pool of Pools operated by the IEPs. This is because they are not mandated by the ocean carriers or applied to give the ocean carriers some unfair or artificial advantage, but rather serve legitimate needs of the IEPs, the ocean carriers, and the shippers who ultimately pay for all chassis usage within the pools.

Although the ID asserts that it is not adjudicating the conduct of the IEPs, it makes no finding that the practices it seeks to enjoin were mandated by the ocean carriers rather than adopted by the IEPs for the purposes discussed above. IMCC implicitly recognized this issue in its complaint, when it alleged that Respondents' rules "prevent chassis choice—even when IEP rules would permit it." IMCC Complaint at 3 (Dkt. No. 1). The Complaint likewise asserted that Respondents used these rules "so as to compel IEPs to undercharge the ocean carrier for carrier haulage ("CH") movements while overcharging for chassis usage for merchant haulage ("MH")." *Id.* (emphasis removed). *See also* Resp. Br. at 36-37 (citing other examples). The ID cites no evidence supporting these allegations, or any others suggesting that, for purposes of this case, the IEPs should be considered as mere appendages of the ocean carriers, and thus, merely incidentally affected by the relief sought. To the contrary, as set forth at length above, the practices the ID seeks to enjoin were adopted and agreed to by the IEPs because they serve important purposes in allowing their pools to work and in allowing them to efficiently deploy assets and recover their investment on their assets.

As IMCC's own allegations implicitly recognize, the assertion that this proceeding seeks to regulate ocean carrier conduct rather than IEP conduct might have at least some surface plausibility if the practices at issue had somehow been foisted on the IEPs by the ocean carriers

through the exercise of market power. But the reality is that the practices were freely adopted or entered into by the IEPs to further the workability of their own pools and the CCM pools in which they participate.

The so-called “choice” rules in CCM originated to accommodate different operating models of ocean carriers and their shipper customers with respect to chassis provisioning, including ocean carriers who supply chassis in every instance, ocean carriers who offer shippers the option of procuring chassis via the ocean carriers’ relationships even in merchant haulage moves (which the shipper contracts for to avoid receiving a pass through bill, with markup, from its motor carrier), and ocean carriers who do not offer this option. Giving ocean carriers flexibility in their engagement with the pool accommodates all of these models, and there is no evidence in the record that the chassis provisioning implications of shipper and motor carrier decisions to do business with a particular ocean carrier or to engage in any individual haulage contract are not fully transparent to them.

Respondents note correctly that ocean carriers do not enforce box rules in the Pool of Pools and that the CCM pools do not dictate the terms of ocean carrier contracts with the IEPs. Resp. Br. at 23-24 (“The rules thus allow each individual ocean carrier to negotiate its own contract with an IEP based on its customer needs and its individual operational requirements, so long as its IEP contributes sufficient chassis to handle the carrier’s cargo volume.”) Those contracts are negotiated competitively by each IEP with each ocean carrier. A pool’s adoption of a certain practice does not mean that ocean carriers engaging with that pool have collectively decided anything with respect to whether or how they individually interact with it, or with the other participants in that pool such as the IEPs.

The declarations that the IEPs submitted during the discovery process confirm that they adopted the usage assignment rules in the Pool of Pools rules to allow the pool to work efficiently. Neither the IMCC nor the ID challenge this conclusion. It is simply contrary to fact to assert that this is not an adjudication as to IEP conduct. The ID also concludes “the Commission has the authority to prevent regulated entities from withdrawing from interoperable pools, where multiple IEPs contribute chassis, although additional proceedings will be needed to determine any markets where this is appropriate.” ID at 5. Apart from the extraordinary suggestion that a court or agency can order a party to remain in a business it seeks to exit, a result in no way supported by the *Aspen Skiing* case cited for the proposition,¹⁷ this would also have a very significant and unwarranted impact on the IEPs’ businesses.

Where, as in Chicago, IEP assets have been withdrawn from pools previously managed by CCM, the ocean carriers and other chassis users have often chosen to make use of competitive pools established and operated by the IEPs. The IEPs believe that these competitive pools offer a more efficient and cost-effective alternative to the ocean carrier-managed and interoperable pools,

¹⁷ See *Aspen Skiing Co. v. Aspen Highlands Skiing Corp.*, 472 U.S. 585, 603-04, 608-611 (1985). The *Marine Repair Services* case expressly rejected the argument that *Aspen Skiing* allows the Commission to grant a complainant’s demand to access the assets of another party to “compete.” 2013 FMC LEXIS 1, at *90-91. The *Marine Repair Services* decision noted that in *Aspen Skiing* the plaintiff “did not seek to use the defendant’s premises for competitive purposes,” but rather sought defendant’s continued participation in a joint venture to which the plaintiff was already party. *Id.* IMCC’s whole claim here is that it has the right to direct the model under which the IEPs’ assets will be utilized. The *Marine Repair Services* decision further noted that defendants’ refusal to continue plaintiff’s participation in the venture in *Aspen Skiing* “had the effect of establishing a monopoly,” which is also not the case here. *Id.* Finally, *Aspen Skiing* itself has been described as a case “at or near the outer boundary” of the authority of antitrust courts to redress claims of monopolization. *Verizon Communications, Inc. v. Law Offices of Curtis v. Trinko*, 540 U.S. 398, 409 (2004). See also *R.O. White v. POMTOC*, 2009 FMC LEXIS 31, at *71 (members of a terminal joint venture “understandably felt no obligation to facilitate the operations of nonmembers, nor is such a duty imposed by the Act”). Courts have rarely if ever awarded relief even in cases of similar competitive facts and harm, which IMCC has in no way presented here. See, e.g., *Twin Laboratories v. Weider Health Fitness*, 900 F.2d 566, 568 (2d Cir. 1990) (“Antitrust law, however, does not require one competitor to give another a break just because failing to do so offends notions of fair play.”).

and the existence of multiple options creates numerous opportunities for ocean carriers, motor carriers and other intermodal stakeholders to do business with the IEP(s) and/or pool(s) of their choosing. Such pools have operated, and continue to operate, successfully all over the country. Although IMCC is unhappy about this development because its chassis affiliate, NACPC, has been unable or unwilling to offer much of anything that appeals to users in this competitive market, there is no evidence in the record that any shipper or BCO is complaining about the use of competitive pools, or for that matter anything else IMCC is exercised about. *See* Resp. Br. at 35 (noting the record contains no “evidence by any shipper/consignee complaining or seeking redress over the payment of chassis usage by the trucker that the shipper/consignee ultimately bears.”). The IEPs institute these pools because they believe they best serve the marketplace.

As with the Pool of Pools, these competitive pools do not operate under any FMC filed agreement, are established by the IEPs and not the ocean carriers, and are operated by the IEPs using their own assets that are also not under the Commission’s jurisdiction. The ID nonetheless suggests that the Commission could ban ocean carriers from using such pools. Again, it does not explain how the ocean carriers would or could assure chassis availability in such a case. Nor does it explain how the Commission would have authority to order how pools operated by parties outside its jurisdiction must be run. Again, far from constructing relief to limit the impact of the proceeding on the IEPs as parties outside the Commission’s authority, the ID suggests a breathtaking attempt to arrogate power far outside of the Commission’s authority.

Finally, the suggestion that the Commission should legislate the prohibition of competitive single-provider pools flies in the face of Congress’ recent refusal to give the Commission authority to do just that in the Ocean Shipping Reform Act of 2022, and its direction instead that an independent body be established to make recommendations as to best chassis practices. The

suggestion also incorrectly assumes that an “interoperable” pool is always superior to a competitive pool or some other mix of chassis provisioning options. It would be deeply anticompetitive for the Commission to hamper the variety of pool and chassis provisioning options that have developed over the last decade with a single “one size fits all” pool model, particularly when done so solely at the request of at best an intermediary party (IMCC), and at worst a competitor (NACPC), in that market.

The current competitive environment has enabled the industry to come through the pandemic to the current state of affairs, where operations are more or less back to normal, with the supply chain issues largely resolved for now. However, this may be a new normal, under which the future may be less predictable and new unforeseen challenges may well arise. In such an environment, flexible alternatives are needed so that the parties can quickly pivot. It would be exactly the wrong course in such an environment to lock the industry into one provisioning model, prescribing rules that would be far less nimble than the market in responding to new realities.

To take one example, during the pandemic, new cargo patterns required the repositioning of thousands of chassis, which the IEPs were able to undertake from competitive pools on a rapid basis, with significant investments, to ease supply chain issues. Assets committed to interoperable multi-contributor pools are far slower to respond given the administrative and coordination needs of such pools due to the multiple parties that may be affected by the prompt removal of pool assets. A second example involves maintenance and repair where, during the pandemic, IEPs reduced out-of-service levels on chassis to record lows, and kept them there for months. It defies logic that a single pool operator could marshal the resources and labor force needed for these kinds of tasks on a nationwide basis, and a lack of redundancy would mean a single point of failure could jeopardize the entire supply chain. Further, and as noted above, interoperable pools create thorny

billing challenges, requiring significant investments in administrative resources. A competitive market is far better able to respond to the different needs of different customers in different areas than an imposed regulatory solution would be, particularly one imposed at the behest of a party such as IMCC, which seeks to advance only its narrow interests in the supply chain, rather than the interests of competition and the shipping public as a whole.

Whether or not the Commission would be correct as a matter of policy to mandate specific chassis pools—it would not—the more fundamental point is that the Commission simply has no authority to mandate chassis provisioning models. It has no jurisdiction over the IEPs or the chassis they own and control, and no authority to regulate what happens after a container movement leaves the control of the ocean carriers over which it does have jurisdiction. It cannot “pull in” such authority over parties it does not regulate, concerning assets it does not regulate, and over inland motor carrier movements it does not regulate, simply through the guise of an unreasonable practices action against regulated parties engaged in arms’ length transactions with parties over which it has no jurisdiction. *See* Resp. Br. at 27-35.

B. The Relief Ordered And Proposed in the Initial Decision Would Improperly Regulate the IEPs’ Businesses and Business Decisions.

Respondents state in several places that the relief granted in the ID “directly, immediately, adversely and dramatically affects the IEPs’ finances and business affairs and operations and their chassis supply contracts with Respondents.” *See* Resp. Br. at 39, 40, 41. This assessment is accurate. For example, as explained above, the ID among other things:

- at a minimum, requires the IEPs to restructure the Pool of Pools if they wish to maintain their customer base;
- invalidates the billing mechanism the IEPs have established by individual agreements with the ocean carriers; and

- rules that the Commission has the authority to require the IEPs to maintain interoperable pools in order to serve ocean carriers.

Given these rulings, the ID's assertion that this action could go forward without the IEPs because "[i]t appears that the requested remedy directly impacts only the parties appearing in the proceeding," Order Denying Motion to Dismiss, at 6, (Dkt. No. 17), is flatly inconsistent with the relief the ID ultimately orders. Likewise, the assertion in the ID that relief could be granted without the IEPs because "[t]he chassis usage agreements are separate contracts entered into by ocean carriers, apart from those identified in the complaint and regulated by the FMC," ID at 29, is entirely without basis. The effect of the relief ordered is to directly invalidate provisions in these contracts between the IEPs and the ocean carriers that the ID purports to hold unreasonable. The ID expressly distinguishes chassis usage agreements that grant "preferred" status to the chassis provider, which it holds can be reasonable, from those that grant "exclusive" status (in words, but not in practice) that it holds are not reasonable, and addresses the rate terms in those agreements as well. *See* ID at 45-46. Moreover, the quoted statement acknowledges that these contracts are not regulated by the Commission, yet purports to invalidate their terms anyway.

IMCC chose to dodge some of these issues in its briefing by arguing that the matter could be handled in separate proceedings to fashion tailored relief to avoid interfering with IEP rights. *See* IMCC Motion for Summary Decision, at 30 (Dkt No. 93) (stating IMCC's intent to request a cease-and-desist order "tailored to the needs and the facts of this case," and that its proposal that if liability was found "the parties will brief the proper remedy for the Initial Decision.")). This did not occur. There was no remedy phase of the proceeding to address the question of tailoring relief. In any event, IMCC cited no precedent to support its suggestion that it would be appropriate to require nonjurisdictional parties, such as the IEPs, to intervene at a later stage of the proceeding to

avoid having relief awarded against them in their absence, or that it was proper for the action to proceed in the meantime and adjudicate the IEPs' contractual and other legal rights.

There is also no suggestion in the ID of any effort to take account of the IEPs' interests or to tailor relief that would not affect them. A clear example to the contrary is the ID's finding that the Pool of Pools at the Ports of Los Angeles/Long Beach is operating unlawfully even though: (i) it does not operate under any FMC filed agreement; (ii) it was established by the IEPs not the ocean carriers; (iii) it is operated by the IEPs using their own assets that are not under the Commission's jurisdiction, and (iv) it has received a favorable business review letter from the Department of Justice. As the ocean carriers' brief points out, Resp. Br. at 39-45, the case law cited in the ID on this point is entirely inapposite to the realities of this proceeding, the whole point of which is to upset the IEPs' contractual and business relationships with the ocean carriers. The IEPs are not merely somehow incidentally "affected" by the relief ordered here: it directly attacks their businesses.

For example, as set out at pp. 14-16, *supra*, eliminating the default provider billing mechanism that IMCC incorrectly terms a denial of "chassis choice" would have highly disrupting consequences in interoperable pools. As also noted above, the Pool of Pools has full interoperability—with motor carriers utilizing the Pool of Pools being free to select any physical chassis available to make their moves—but it sets up a billing system with complex back-office operations to allow chassis contributors to be compensated fairly. Invalidating that system would create enormous problems for the IEPs. The Pool of Pools would simply cease to exist in its current form, and the IEPs could well be forced to shut it down altogether.

Respondents also note that applying the ID to wheeled intermodal facilities would create a host of problems, further demonstrating the reasonableness of existing arrangements to

accommodate different operational realities. Resp. Br. at 16-17. From the IEPs' perspective, the problems would likely be even greater than Respondents note, as even grounded operations (both marine terminal and rail) continue to handle some amount of wheeled cargo (e.g., refrigerated containers that cannot be stacked because of the generator attached to the box to maintain cargo temperature, hazardous material cargo that must stay on wheels in case an emergency occurs, out of gauge cargo that cannot stack because it is only partially "container shaped," and so forth). Given the existence of this type of cargo that requires chassis immediately on arrival, it is eminently reasonable for the ocean carrier (who has best visibility across entire network of locations where its containers will need chassis) to be accounting top-down for the chassis needed from IEPs to support these operations. The alternative, building bottom-up with individual terminals, individual shippers, and individual motor carriers identifying chassis needs, would create many more inefficiencies and administrative burdens than the status quo.

C. The ID Acknowledges There Is An Inadequate Basis In The Record To Invalidate The Box Rules In The Pool Of Pools.

The ID acknowledges that the parties did not explain the Pool of Pools sufficiently to allow a confident conclusion as to how it works. ID at 54. This is not surprising since Respondents do not operate the Pool of Pools, the IEPs do, and IMCC has little interest in accurately describing the competitive realities behind the relief it seeks. Rather than defer any ruling at the summary disposition stage in face of this admittedly inadequate presentation, the ID made its own suppositions as to how the Pool of Pools operates. In doing so, the ID incorrectly characterizes the Pool of Pools by saying that "it appears that in the LA/LB region, the POP is the exclusive chassis provider." *Id.* This is incorrect as a matter of fact, as the Pool of Pools supplies chassis for fewer than 50% of the chassis moves in the LA/LB region.

After this factual misstatement of the Pool of Pools' market position, the ID goes on to entirely disregard the Department of Justice business review letter received by the Pool of Pools under the antitrust laws, which of course govern the IEPs and the pool, not the Shipping Act. The ID states that the Pool of Pools does "not allow choice and is not operating consistent with the 'open participation' it promised to the DOJ". ID at 55. But there is no reference to "chassis choice" in the business review letter, or any indication that the Department of Justice considered compliance with a principle advanced by IMCC many years later in this litigation to be some kind of *sine qua non* for its advice in that letter. The ID cites no support for its apparent conclusion that the Department of Justice understood "open participation" to mean "chassis choice," and acknowledged that it was presuming how the Pool of Pools worked based on an insufficient explanation from the parties. ID at 54. In any event, compliance with the business review letter is a matter within the purview of the Department of Justice, not the Commission.

The ID then advances a series of supposed potential steps the ocean carriers might take in order to deal with the compliance issue it has just created out of whole cloth, including that ocean carriers not be permitted to use the Pool of Pools at all. ID at 55. The ID does not suggest how the ocean carriers would assure the availability of sufficient chassis to keep their cargo moving in that event. This is not an idle concern, as the Los Angeles/Long Beach region is the largest in the entire United States in terms of container volume, and any attempt to restrict how chassis are provided in this region will have far-reaching implications on the entire national supply chain. Far from being an effort to tailor relief so as to recognize the interests of the IEPs as nonjurisdictional parties, the ID declares that the IEPs' Pool of Pools simply cannot continue to operate unless it complies with the order. This relief arrogates power far outside of the Commission's authority, directly affecting the IEPs' rights and regulating their conduct. The IEPs note in concluding on

this point that this entire portion of the ID cites no legal basis whatsoever for its radical and unprecedented expansion of authority over parties, assets, and conduct over which it has no jurisdiction, in markets that have not been shown to be anticompetitive under either the Commission's precedent or antitrust precedent, and that would replace the workings of a vibrant market with a single mandated solution favoring a single set of parties in the supply chain and significantly disrupting a variety of arrangements that have been set up to make chassis available on an efficient and economically rational basis.

CONCLUSION

The Complaint should be dismissed as IMCC has provided no basis for the Commission to interfere in a dynamic and competitive marketplace, and its proposed solutions would harm chassis availability, efficiency, and competition in any event. The ID impermissibly and directly regulates entities and assets over which Commission jurisdiction does not exist, disregards governing precedent, and does so primarily to advantage a single market participant, NACPC, rather than to benefit competition in the market as a whole. If the Commission does determine nonetheless that there is some basis to award any relief, it should be strictly limited to addressing ocean carrier conduct under matters within the Commission's jurisdiction, rather than relief that necessarily regulates and invalidates the IEPs, their assets, and their contractual and other business relationships, all matters far outside any conceivable scope of the Commission's jurisdiction.

Respectfully submitted,

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March 14, 2023

CERTIFICATE OF SERVICE

I certify that, on March 14, 2023, a true and current copy of the foregoing was served via electronic mail on the following: Brief *AMICI CURIAE* of Direct ChassisLink, Inc.; FlexiVan Leasing, LLC; and Interpool, Inc. d/b/a TRAC Intermodal was filed electronically with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following:

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